

BOARD OF DIRECTORS

Shri R. Ravi Kumar	Wholetime Director
Shri Dattatray Patil	Director
Smt. Sujatha Jonnavittula	Director

Auditors

M/s. Anant Rao & Mallik
Chartered Accountants,
Hyderabad

**Registered &
Admin Office**

Old No. 32, New No. 64,
8th Cross Street, West Shenoy Nagar,
Chennai - 600 030

Share Transfer Agency

M/s Cameo Corporate Services Ltd.,
'Subramanian Building'
No.1, Club House Road,
Chennai 600 002

Listing Stock Exchange

Bombay Stock Exchange Ltd
P.J. Towers, Dalal Street,
Mumbai - 400 001

KLK ELECTRICAL LIMITED

Old No. 32, New No. 64, 8th Cross Street, West Shenoy Nagar, CHENNAI - 600 030

NOTICE TO SHAREHOLDERS

Notice is hereby given that the Thirty Fifth Annual General Meeting of the Company will be held on Friday , 30.12.2016 at **OLD NO 313, NEW NO 455, ANNA SALAI, TEYNAMPET, CHENNAI - TN- 600030**, at 12.00 noon to transact the following Business.

ORDINARY BUSINESS

1. To receive, consider and adopt the Financial Statements for the financial year ended 31st March, 2016 together with the Reports of Board of Directors and Auditors thereon.
2. To appoint a Director in the place of Mr. Ravi Kumar Rao (DIN: 06432101) who retires by rotation and being eligible, offers himself for re-appointment.
3. To consider and, if thought fit, to pass with or without modification, the following Resolution as an Ordinary Resolution:

RESOLVED THAT in terms of the provisions of Sections 139,142 and other applicable provisions , if any, of the Companies Act, 2013 read with the underlying rules viz. Companies (Audit and Auditors) Rules, 2014 as may be applicable and pursuant to the resolution of the Members at the 34th Annual General Meeting held on 30th September , 2015, the appointment of M/s Anant Rao & Mallik, Chartered Accountants (Registration No. 006266S), as statutory auditors of the Company, to hold office from the conclusion of this Meeting until the conclusion of the 38th Annual General Meeting (AGM) of the Company, be ratified by the Members on a remuneration inclusive of service tax and such other tax(es) (as may be applicable) and reimbursement of all out- of pocket expenses in connection with the audit of the accounts of the Company (including terms of payment) to be fixed by the Board of Directors of the Company, based on the recommendation of the Audit Committee.

4. To consider and if thought fit, to pass with or without modification(s), the following resolution as an ordinary resolution: 'd'Resolved that pursuant to the provisions of the Section 149,150,152,160,161 and any other applicable provisions of the Companies Act 2013 and the Rules made thereunder (including any statutory modifications or re-enactment thereof for the time being in force) read with Schedule IV to the Companies Act 2013, Mr Ghadiyaram Raja Rao holding DIN 07013119 in respect of whom the Company has received a notice in writing from a member proposing his candidature for the office of Director of the Company, be and is hereby appointed as an Independent Director of the Company to hold office for 5 consecutive years for a term up to 30th September 2021, not liable to retire by rotation.'

Place : Chennai

Date : 28/11/2016

By Order of the Board

R.Ravi Kumar Rao

DIRECTOR

DIN 06432101

NOTES

- I) A MEMBER ENTITLED TO ATTEND AND VOTE IS ENTITLED TO APPOINT A PROXY TO ATTEND AND, ON A POLL, TO VOTE INSTEAD OF HIMSELF. SUCH A PROXY NEED NOT BE A MEMBER OF THE COMPANY. PROXIES, IN ORDER TO BE VALID AND EFFECTIVE, MUST BE DELIVERED AT THE REGISTERED/CORPORATE OFFICE OF THE COMPANY NOT LATER THAN FORTY-EIGHT HOURS BEFORE THE COMMENCEMENT OF THE MEETING.
- II) Pursuant to the provisions of the Companies Act, 2013 and the underlying rules viz. Companies (Management and Administration) Rules, 2014, a person can act as proxy on behalf of members not exceeding fifty and holding in the aggregate not more than ten percent of the total share capital of the company carrying voting rights.
- III) Members/ proxies should bring the Attendance slip sent herewith duly filled in for attending the meeting.
- IV) The Ministry of Corporate Affairs (vide circular nos.17/2011 and 18/2011 dated April 21,2011 and April 29/2011 respectively) has undertaken a Green initiative in Corporate Governance and allowed Companies to share documents with its shareholders through an electronic mode. A recent amendment to the Listing Agreement with the Stock Exchanges permit's companies to send soft copies of the Annual Report to all those shareholders who have registers their email addresses for the said purpose. Hence members are requested to register their email addresses with the company by sending their details relating to name, folio no./DP id/client id to the company's email id: admin@klk.co.in.
- V) Members holding shares in physical form are requested to immediately notify change in their address, to the Registrar and Transfer Agent of the Company, viz. M/s Cameo Corporate Services Limited, Subramanian Building Vth floor, Chennai-600002, Tamil Nadu, India, quoting their Folio number(s).
- VI) Members who hold shares in physical form are requested to dematerialize their holdings to make the company's shares traded in normal segment.
 - a) DETAILS OF DIRECTORS SEEKING APPOINTMENT/RE –APPOINTMENT AT THE ANNUAL GENERAL MEETING

KLK Electrical Limited

Particulars	Mr. R. Ravi Kumar Rao	G. Raja Rao
DIN	06432101	07013119
Date of Birth	01/03/1970	06/05/1959
Date of Appointment	29/11/2012	to be appointed
Chairmanships/Directorship of other Companies (excluding Foreign Companies and Section 8 Companies)	<NIL>	<NIL>
Chairmanships/Directorship of Committees of other Public Companies	<NIL>	<NIL>
I. Audit Committee		
ii. Stake holders Relationship Committee.	<NIL>	<NIL>
iii. Nomination and Remuneration Committee	<50000>	-----
Number of Shares held in the Company		

- VII) Electronic copy of the AGM notice of the company inter alia indicating the process and manner of e-voting along with attendance slip and proxy form is being sent to all members whose email IDs are registers with the company/Depository Participant(s) for communication purposes unless any member has requested for a hard copy of the same. For members who have not registered their email address, physical copies of the Notice of the company inter alia indicating the process and manner of e-voting along with attendance slip and proxy form is being sent in the permitted mode.
- VIII) Members are requested to note that the Company's equity shares are under compulsory demat trading for all investors, subject to the provisions of SEBI Circular No.21/99 dated July 8, 1999. Members are, therefore, requested to dematerialise their shareholding to avoid inconvenience.
- IX) The Register of Members and the Share Transfer Books of the Company will remain closed from 24th December, 2016, to 30th December, 2016, (both days inclusive) for the purpose of Annual General Meeting.
- X) Members holding shares in physical form are requested to immediately notify change in their address, to the Registrar and Transfer Agent of the Company, viz. M/s Cameo Corporate Services Limited, Subramanian Building Vth floor, Chennai-600002, Tamil Nadu, India, quoting their Folio number(s).
- XI) Members holding shares in dematerialized mode are requested to intimate all changes pertaining to their bank details, ECS mandates, email addresses,

nominations, power of attorney, change of address/name etc. to their Depository Participant (DP) only and not to the Company or its Registrar and Transfer Agent. Any such changes effected by the DPs will automatically reflect in the Company's subsequent records.

- XII) Any person who acquires shares of the company after dispatch of notice and holding shares as of the cut off dates ie. 23rd December 2016, may obtain login ID and password by sending email to investors@cameoindia.com or helpdesk.evoting@cdslindia.com by mentioning the folio no./DP id/client id. However if you are already registered with CDSL for remote evoting then you can use your existing ID and Password by casting your vote.
- XIII) Members may avail of the nomination facility as provided under Section 72 of the Companies Act, 2013.
- XIV) The facility for voting, either through ballot form or polling paper shall also be made available at the meeting and Members attending the meeting who have not already cast their vote by remote e-voting or by ballot form shall be able to exercise their right at the meeting.
- XIV) The Members who have cast their vote by remote e-voting or by ballot form prior to the meeting may also attend the meeting but shall not be entitled to cast their vote again.
- XVI) The annual report of the Company circulated to the Members of the Company, shall also be made available on the Company's website at www.klk.co.in.
- XVII) Members desirous of getting any information about the accounts and/or operations of the Company are requested to write to the Company at least seven days before the date of the Meeting to enable the Company to keep the information ready at the Meeting.
- XVIII) All the documents referred to in the Notice and Explanatory Statement will be available for inspection by the Members at the Registered/Corporate Office of the Company during the business hours on all working days from the date hereof up to the time of the Meeting.
- XIX) Clause 32 of the Listing Agreement executed with the stock exchanges permits sending of soft copies of annual reports to all those Members who have registered their email addresses for the purpose.
- XX) The Companies Act, 2013 has also recognized serving of documents to any Member through electronic mode. In view of the above email addresses made available by the Depository for your respective Depository Participant accounts as part of the beneficiary position downloaded from the Depositories from time to time will be deemed to be your registered email address for serving notices/ documents including those covered under Sections 101 and 136 of the Companies Act, 2013 read with Section 20 of the Companies Act, 2013 and the underlying rules relating to transmission of documents in electronic mode. In light of the requirements prescribed

by the aforesaid circulars, for those Members whose Depository Participant accounts do not contain the details of their email address, printed copies of the Notice of Annual General Meeting and Annual Report for the year ended March 31, 2015 would be dispatched.

- xxi) Members holding shares in electronic mode are requested to ensure to keep their email addresses updated with the Depository Participants. Members who have not registered their email id with their Depository Participants are requested to do so and support the green initiative. Members holding shares in physical mode are also requested to update their email addresses by writing to the Registrar and Transfer Agent of the Company at the address mentioned above quoting their folio number(s).
- xxii) Voting through electronic means:
- I. In compliance with provisions of Section 108 of the Companies Act, 2013 and Rule 20 of the Companies (Management and Administration) Rules, 2014, the Company is pleased to provide members facility to exercise their right to vote at the 34th Annual General Meeting (AGM) by electronic means. The procedure and instruction is same as follows:
 - I. from a place other than the venue of the AGM (remote e-voting) will be provided by Central Depository Services (India) Limited (CDSL) and the items of business as detailed in this Notice may be transacted through remote e-voting.
 - II. A person whose name is recorded in the Register of Members or in the Register of Beneficial Owners maintained by the depositories as on the cut-off date of Wednesday, 23rd December, 2016 only shall be entitled to avail the facility of remote e-voting as well as voting at the AGM.
 - III. The Members who have cast their votes through remote e-voting prior to the AGM may also attend the AGM but shall not be entitled to cast their vote again.

The instructions for shareholders voting electronically are as under

1. The shareholders should log on to the e-voting website www.evotingindia.com.
2. Click on Shareholders
3. Now Enter your User ID
 - a) For CDSL: 16 digits beneficiary ID,
 - b) For NSDL: 8 Character DP ID followed by 8 Digits Client ID,
 - c) Members holding shares in Physical Form should enter Folio Number registered with the Company.
4. Next enter the Image Verification as displayed and Click on Login.

5. If you are holding shares in demat form and had logged on to www.evotingindia.com and voted on an earlier voting of any company, then your existing password is to be used.

6. If you are a first time user follow the steps given below:

	For Members holding shares in Demat Form and Physical Form
PAN	Enter your 10 digit alpha-numeric *PAN issued by Income Tax Department (Applicable for both demat shareholders as well as physical shareholders) *Members who have not updated their PAN with the Company/Depository Participant are requested to use the first two letters of their name and the 8 digits of the sequence number in the PAN field. In case the sequence number is less than 8 digits enter the applicable number of 0's before the number after the first two characters of the name in CAPITAL letters.
DOB	Eg. If your name is Ramesh Kumar with sequence number 1 then enter RA00000001 in the PAN field. Enter the Date of Birth as recorded in your demat account or in the company records for the said demat account or folio in dd/mm/yyyy format.
Dividend Bank Details	Enter the Dividend Bank Details as recorded in your demat account or in the company records for the said demat account or folio. Please enter the DOB or Dividend Bank Details in order to login. If the details are not recorded with the depository or company please enter the member id / folio number in the Dividend Bank details field as mentioned in instruction (iv).

7. After entering these details appropriately, click on "SUBMIT" tab.

8. Members holding shares in physical form will then directly reach the Company selection screen. However, members holding shares in demat form will now reach 'Password Creation' menu wherein they are required to mandatorily enter their login password in the new password field. Kindly note that this password is to be also used by the demat holders for voting for resolutions of any other company on which they are eligible to vote, provided that company opts for e-voting through CDSL platform. It is strongly recommended not to share your password with any other person and take utmost care to keep your password confidential.

9. For Members holding shares in physical form, the details can be used only for e-voting on the resolutions contained in this Notice.
10. Click on the EVSN for the relevant KLK ELECTRICAL LIMITED on which you choose to vote.
11. On the voting page, you will see "RESOLUTION DESCRIPTION" and against the same the option "YES/NO" for voting. Select the option YES or NO as desired. The option YES implies that you assent to the Resolution and option NO implies that you dissent to the Resolution.
12. Click on the "RESOLUTIONS FILE LINK" if you wish to view the entire Resolution details.
13. After selecting the resolution you have decided to vote on, click on "SUBMIT". A confirmation box will be displayed. If you wish to confirm your vote, click on "OK", else to change your vote, click on "CANCEL" and accordingly modify your vote.
14. Once you "CONFIRM" your vote on the resolution, you will not be allowed to modify your vote.
15. You can also take out print of the voting done by you by clicking on "Click here to print" option on the Voting page.
16. If Demat account holder has forgotten the changed password then Enter the User ID and the image verification code and click on Forgot Password & enter the details as prompted by the system.
17. Note for Non – Individual Shareholders and Custodians
Non-Individual shareholders (i.e. other than Individuals, HUF, NRI etc.) and Custodian are required to log on to www.evotingindia.com and register themselves as Corporates.
 - ? A scanned copy of the Registration Form bearing the stamp and sign of the entity should be emailed to helpdesk.evoting@cdslindia.com.
 - ? After receiving the login details a compliance user should be created using the admin login and password. The Compliance user would be able to link the account(s) for which they wish to vote on.
 - ? The list of accounts should be mailed to helpdesk.evoting@cdslindia.com and on approval of the accounts they would be able to cast their vote.
 - ? A scanned copy of the Board Resolution and Power of Attorney (POA) which they have issued in favour of the Custodian, if any, should be uploaded in PDF format in the system for the scrutinizer to verify the same.
18. The voting rights of Members shall be in proportion to their share of the paid-up equity share capital of the Company as on the cut-off date of 23rd September, 2015.

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19. Mrs Lakshmmi Subramanian, Practising Company Secretary has been appointed as the Scrutinizer to scrutinize the remote e-voting process as well as the electronic voting process at the AGM in a fair and transparent manner.

The Scrutinizer shall after the conclusion of voting at the AGM, unblock the votes cast through e-voting in the presence of at least two witnesses not in the employment of the Company and shall make, not later than three days of the conclusion of the AGM, a consolidated scrutinizer's report of the total votes cast in favour or against, if any, to the Chairman or a person authorised by him in writing, who shall countersign the same. The Chairman or the authorised person shall declare the result of the voting forthwith.

21. The Results declared along with the Scrutinizer's Report shall be placed on the Company's website www.klk.co.in and on the website of CDSL after the same is declared by the Chairman/authorised person. The Results shall also be simultaneously forwarded to the stock exchanges.

In case of members receiving the physical copy

- A. Please follow all steps from SI no. 1 to 17 above to cast vote.
- B. The voting period begins on 27th December, 2016 from 9.00 am and ends on 29th December, 2016 till 5.00 pm. During this period shareholders' of the Company, holding shares either in physical form or in dematerialized form, as on the cut-off date 23rd December 2016, may cast their vote electronically. The e-voting module shall be disabled by CDSL for voting thereafter.
- C. In case you have any queries or issues regarding e-voting, you may refer the Frequently Asked Questions ("FAQs") and e-voting manual available at www.evotingindia.com, under help section or write an email to helpdesk.evoting@cdslindia.com.
- D. The manner of voting for Members being present in the AGM will be on "proportion principle" i.e one share-one vote unlike one person one vote principle as on the cut-off date of 23rd December, 2016.
- E. The Chairman shall, at the AGM, at the end of discussion on the resolutions on which voting is to be held, allow voting with the assistance of scrutinizer for all those members who are present at the AGM but have not cast their votes by availing the remote e-voting facility.

Place : Chennai
Date : 28/11/2016

By Order of the Board
R.Ravi Kumar Rao
DIRECTOR
DIN 06432101

**EXPLANATORY STATEMENT IN RESPECT OF THE SPECIAL BUSINESS
PURSUANT TO SECTION 102 OF THE COMPANIES ACT, 2013****Item No. 4**

The Company has received a notice along with the deposit of requisite amount under Section 160 of the Act from a member proposing Mr. Ghadiyaram Raja Rao as a candidate for the office of a director of the Company. Mr. Ghadiyaram Raja Rao has confirmed to the Board that he qualifies to be an independent director within the meaning of Clause 49(II)(B)(1) and Section 149(6) of the Act read with Rule 5 of the Companies (Appointment and Qualification of Directors) Rules, 2014. The Directors are of the view that Mr. Ghadiyaram Raja Rao fulfils the conditions specified in the Act and Rules made there under for his appointment as an Independent Director of the Company. The Directors are of the view that Mr. Ghadiyaram Raja Rao would bring valuable experience to the Board and the Company would benefit from his appointment as Director. Accordingly, the Board commends the passing of the Ordinary Resolution proposed at item no. 4 of the Notice.

None of the Directors/ their relatives, except Mr. Ghadiyaram Raja Rao, is in any way, concerned or interested, financially or otherwise, in the resolution set out at item no. 4 of the Notice.

Place : Chennai

Date : 28/11/2016

By Order of the Board

R.Ravi Kumar Rao

DIRECTOR

DIN 06432101

DIRECTORS' REPORT

Dear Shareholders,

Your Directors have pleasure in presenting the Thirty Fifth Annual Report of KLK Electrical Limited along with the audited financial statements for the year ended March 31, 2016.

FINANCIAL RESULTS

Particulars	2015-16	2014-15
Net REVENUE	-	-
profit /(Loss) before tax (PBT)	(638577)	(622000)
provision for current tax	-	-
Tax Expense	-	-
Profit after Taxes/Loss (PAT)	(638577)	(622000)

PERFORMANCE AND STATE OF AFFAIRS OF THE COMPANY

During the year ended 31st March 2016 under review, the Company has incurred net loss Rs.638577 as against loss of Rs.622000 in the previous year. The Board is actively evaluating opportunities in different sectors and will shortly start activity to revive the company.

DIVIDEND

The Board of Directors did not recommend any dividend to the Shareholders for the financial year ended 31.03.2016

TRANSFER OF PROFIT TO RESERVES

There is no transfer to reserves in view of the Carried forward losses.

MATERIAL CHANGE AND COMMITMENTS OF THE COMPANY

There are no material changes and commitments affecting the financial position of the company which have occurred between the end of the financial year of the company to which the financial statements relate and the date of the report; and there are no significant and material orders passed by the regulators or courts or tribunals impacting the going concern status and company's operations in future.

PARTICULARS OF LOANS, GUARANTEES OR INVESTMENTS:

There have been no loan, guarantees and investment given or made by the Company under Section 186 of the Act during the financial year 2015-16.

SUBSIDIARIES, ASSOCIATES AND JOINT VENTURE COMPANIES

The company does not have any subsidiaries, associates and joint venture companies.

TECHNOLOGY ABSORPTION AND FOREIGN EXCHANGE EARNINGS AND OUTGO:

The nature of business does not involve any Technology Absorption, and Conservation of Energy as stipulated under Section 134(3)(m) of the Companies Act, 2013 read with Rule 8 of the Companies (Accounts) Rules, 2014, and there is no Foreign Exchange Earnings and Outgo. Hence the details are not furnished in the report.

BOARD COMPOSITION

The Board of Directors consists of eminent individuals drawn from management, technical and financial fields. The Board has an adequate combination of executive and non-executive independent directors.

The composition of Board of Directors meets with the requirement of the Companies Act, 2013.

Category	Name of Director
Executive Director	Mr. R. Ravi Kumar
Non-Executive Independent Directors	Mr. Dattatray Patil Mr. Sujata Jonnavittula

Due to voluntary de-recognition of Madras Stock Exchange Ltd by SEBI on 26.05.2014, our Company ceased to be a Listed Company with Madras Stock Exchange. Further the paid up share capital being less than prescribed limit of Rs. 10 Crores, the provisions of Section 203 of the Act does not apply.

NUMBER OF MEETINGS OF THE BOARD

In total_6_ Meetings of the Board of Directors of the Company were held during the year 2015-16. The maximum time gap between any two consecutive meetings did not exceed 120 days.

QUARTER	MEETINGS
I	1
II	2
III	1
IV	2

KLK Electrical Limited

Attendance of each Director at the Board Meetings, last Annual General Meeting (AGM) and number Companies:

Name of Director	Attendance Particulars		No. of Other Directorship/ Committee Memberships / Chairmanship			Shares held in Company
	Board Meetings	Last AGM	Directorships	Committee Memberships	Committee Chairmanships	
Mr. R Ravi Kumar	6	YES	NIL	NIL	NIL	50000
Mr. Dattatray Patil	6	YES	2	NIL	NIL	0
Mrs. Sujata Jonnavittula	6	NO	2	NIL	NIL	0

Independent Directors do not have any direct or indirect material pecuniary relationship with the Company.

None of the Directors received any loans/advances from the Company during the year under review.

REMUNERATION TO DIRECTORS

Following are the remuneration details of the directors during the financial year:

Name of Independent Director	Salary	Sitting Fees Paid Rs.
Mr. R Ravi Kumar	Nil	Nil
Mr. Dattatray Patil	Nil	Nil
Mrs. Sujata Jonnavittula	Nil	Nil

The disclosure under section 197(12) of the Companies Act, 2013 read Rule 5(1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 are (not) applicable.

AUDIT COMMITTEE:

The Company is not required to have an audit committee under Sec 177 of the Companies Act, 2013 as the paid up capital of the Company is less than Rs. 10 Crores.

DIRECTORS AND KEY MANAGERIAL PERSONNEL

Retirement by Rotation

In accordance with provisions of Section 152 of the Companies Act 2013, Mr. R.RaviKumar Rao(DIN : 06432101), who retires by rotation at the forthcoming AGM and is eligible for re-appointment.

INDEPENDENT DIRECTORS' DECLARATION:

All independent Directors have given declarations that they meet the criteria of independence as laid down under Section 149 of the Companies Act, 2013 which has been relied on by the Company and placed at the Board Meeting of the Company.

AUDITORS:

Pursuant to the provisions of Section 139 of the Companies Act and the Rules framed there under, M/s. Anant Rao & Mallik, Chartered Accountants (Registration Number : 006266S) were appointed as Auditors of the Company from the conclusion of the 34th Annual General Meeting (AGM) of the Company held on 30th September, 2015 till the conclusion of 38th Annual General Meeting.

COMMENT ON STATUTORY AUDITOR'S REPORT:

There are no qualifications, reservations, remarks or disclaimers made by M/s. Anant Rao & Mallik, Statutory Auditor, in their audit report. The statutory Auditor have not reported any incident of fraud to the Audit Committee of the Company during the financial year 2015-16.

SECRETARIAL AUDITOR:

Pursuant to the requirements of Section 204(1) of the Companies Act, 2013 and Rule 9 of Companies (Appointment and Remuneration of Managerial Personnel) Rules 2014, Mrs. Lakshmmi Subramanian, Practicing Company Secretary (Membership No.3534) was appointed to conduct secretarial audit for the financial year 2015-16.

The Secretarial Audit Report as received from the Secretarial Auditor is annexed to this report as Annexure I.

COMMENT ON SECRETARIAL AUDIT REPORT:

There are no adverse comments from the Secretarial Auditor of the secretarial compliances during the year.

INTERNAL FINANCIAL CONTROLS:

Your Company has adequate internal financial controls with reference to the financial statements and commensurate with its business operations.

CODE OF CONDUCT FOR DIRECTORS AND SENIOR MANAGEMENT:

The Board of Directors had adopted a Code of Conduct for the Board Members and employees of the Company. This Code helps the Company to maintain the Standards of Business Ethics and ensure compliance with the legal requirements of the Company.

The Code is aimed at preventing any wrongdoing and promoting ethical conduct at the Board and employees. The Compliance Officer is responsible to ensure adherence to the Code by all concerned.

The Code lays down the standard of conduct which is expected to be followed by the Directors and the designated employees in their business dealings and in particular on matters relating to integrity in the work place, in business practices and in dealing with stakeholders.

All the Board Members and the Senior Management personnel have confirmed the Compliance with the Code.

DIRECTORS' RESPONSIBILITY STATEMENT:

Pursuant to the provisions contained in the Section 134 (3) (c) of the Companies Act, 2013, the Board to the best of its knowledge and belief and according to the information and explanation obtained by it confirms that:

- a) in the preparation of the Annual Accounts, the applicable Accounting standards had been followed and there were no material departures there from;
- b) the Directors had selected such Accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of the 12 months period ended on 31st March, 2016 and of the profit of the Company for that period;
- c) the Directors had taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 2013 for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;
- d) the Directors had prepared the Annual Accounts on a going concern basis.

BOARD EVALUATION:

Further the paid up share capital is well within the threshold limit prescribed under Rule 8 (4) of the Companies (Accounts) Rules, 2014. Hence the details of the board evaluation process as per section 134 (3) (p) of the Companies Act, 2013 is not furnished.

STATUTORY AUDITORS

Pursuant to the provisions of section 139 of the Act and the rules framed there under, M/s. Anant Rao & Mallik., Chartered Accountants, (firm registration no.0006266S) were re-appointed as auditors of the company from the conclusion of this Annual General Meeting held on 30th September 2015 till the conclusion of 38th AGM, subject to ratification of their appointment at every AGM.

COMMENT ON STATUTORY AUDITOR REPORT

There are no qualification, reservation, remarks or disclaimers made by Anant Rao & Mallik., Statutory Auditor, in his audit report. The statutory auditor have not reported and incident of fraud by the Company during the financial year 2015-16.

SECRETARIAL AUDITOR

Pursuant to the requirements of Section 204 (1) of the companies Act 2013 and Rule 9 of Companies (Appointment and Remuneration of Managerial Personnel) Rules 2014, the Company has appointed , Ms. Lakshmmi Subramanian & Associates, Practicing Company Secretaries to conduct secretarial audit for the financial year 2015-16.

The Secretarial Audit report as received from the secretarial auditor is annexed to this report as Annexure.

COMMENT ON SECRETARIAL AUDITOR REPORT

With reference to the remarks made by the secretarial auditor, Ms. Lakshmmi Subramanian, Practicing Company Secretary bearing (Membership No. 3534 CP No. 1087).), in her Secretarial Audit Report, the company has taken the corrective measures during the current financial year.

INTERNAL FINANCIAL CONTROLS

Your Company has adequate internal financial controls with reference to the financial statements and commensurate with its business operations.

RELATED PARTY TRANSACTIONS

During the year 2015 – 2016, the Company had not entered into any contract / arrangement / transaction with related parties as per sub-section (1) of section 188 of the Companies Act, 2013. Hence the question of reporting under the requirement of said section doesn't arise.

EXTRACT OF ANNUAL RETURN

The details forming part of extract of Annual Return in form MGT -9 as provided under Sub Section (3) of the Section 92 of the Companies Act,2013 (the "Act") is annexed herewith as Annexure to this report.

PERSONNEL:

The information required under Section 197(12) of the Companies Act, 2013 read with rule 5(1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, in respect of employees of the Company, forms part of this Report as Annexure III.

The information of employees as per Rule 5(2) of the said Act for the year is "NIL".

RISK MANAGEMENT:

The risk management is overseen by the company on a continuous basis. Major risks, if any, identified in the business and functions are systematically addressed through mitigating action on a continuous basis.

DISCLOSURE AS PER SEXUAL HARRASMENT OF WOMEN AT WORKPLACE (PERVECTION, PROHIBITION AND REDRESSAL) ACT, 2013

Presently the total number of employees is less than the statutory limit and hence the company has not constituted a separate committee under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013

However the company has zero tolerance for sexual harassment at workplace.

During the financial year 2015-16, the Company has not received any complaints.

MANAGEMENT DISCUSSION AND ANALYSIS REPORT

Presently the company has very limited activity; no management discussion at large has taken place during the year. Since your company's paid up Equity share capital and net worth is less than Rs.10 Crores and Rs.25 Crores respectively, the provisions of revised Clause 49 relating to Corporate Governance does not apply.

DEPOSITS FROM PUBLIC

The Company has not accepted any deposits from public and as such, no amount on account of principal or interest on deposits from public was outstanding as on date of the balance sheet.

CORPORATE GOVERNANCE REPORT

Since your company's paid up Equity capital and Net worth is less than Rs.10 Crores and Rs.25 Crores respectively, the provisions of the revised Clause 49 relating to Corporate Governance and vide SEBI circular dated CIR/CFD/POLICY CELL/7/.Hence not applicable to the company.

PERFORMANCE EVALUATION OF BOARD, AND DIRECTORS:

Pursuant to the provisions of the Companies Act, 2013, the Board has carried out an annual performance evaluation of its own performance, the directors individually as well as the evaluation of the working of the Board and the same was based on questionnaire and feedback from all the Directors on the Board as a whole and self-evaluation.

A structured questionnaire was prepared after taking into consideration of the inputs received from the Directors, covering various aspects of the Board's functioning such as adequacy of the composition of the Board and its culture, execution and performance of specific duties, obligations and governance. A separate exercise was carried out to evaluate the performance of individual Directors including the Chairman of the Board, who were evaluated on parameters such as level of engagement and contribution, independence of judgement, safeguarding the interests of the Company and its minority shareholders etc.

The performance evaluation of the Independent Directors was carried out by the entire Board. The performance evaluation of the Chairman of the Board and the Executive Directors was carried out by the Independent Directors.

WHISTLE BLOWER POLICY/VIGIL MECHANISM:

As the activity in the company is very limited, company does not have a whistle blower policy framed at present. However, a full fledged policy shall be in place once the activity in the company takes-off. Further, Directors and employees are having full access to the audit committee to report their genuine and serious concern if they observe any.

POLICY OF DIRECTORS' APPOINTMENT AND REMUNARATION:

Directors' appointment and remuneration including criteria for determining qualifications, positive attributes, independence of a director and other matters provided under section 178 of the Act are covered under the Board's policy formulated by the Company.

CONVERSION OF ENERGY

Though the Company has not carried on any manufacturing activities, it had taken steps to converse energy in its office / and stores use, consequent to which energy consumption has been minimized. No additional Proposals/ Investments was made to converse energy. Since the Company has not carried on any industrial activities, disclosure regarding impact of measures on cost of production of goods, total energy consumption, etc., are not applicable.

TECHNOLOGY ABSORPTION

The Company has not adopted / intend to adopt the technology for its business and hence no reporting is required to be furnished under this heading.

FOREIGN EXCHANGE EARNINGS AND OUTGO

Since the Company has not carried on any export during the financial year under review, the discourses requirement relating to exports, initiatives taken to increase exports; development of new export markets for products and services and export plans do not arise.

HUMAN RESOURCES DEVELOPMENT:

The Management envisions trained and motivated employees as the backbone of the Company. Special attention is given to recruit trained and experienced personnel not only in the production department but also in marketing finance and accounts. The management strives to retain and improve employees morale. The Company is in the process of revamping the employer employee engagement program.

CORPORATE SOCIAL RESPONSIBILITY COMMITTEE:

Your company is not meeting the threshold as prescribed under Companies Act, 2013, i.e., Net Profit greater than Rs.5 Crores or Turnover greater than Rs.1000 Crores or Net worth greater than Rs. 500 Crores in the preceding 3 Financial Years and therefore Constituting of a CSR committee in accordance with the provisions of section 135 of the Act does not arise.

ACKNOWLEDGEMENT

Your Directors wish to place on record their appreciation of the contributions made by employees at all levels, towards the continued growth and prosperity of your Company.

Directors take this opportunity to convey their thanks to all the valued shareholders and the valuable services rendered by the Officers and Staffs at all levels.

For and on behalf of the Board

Mr. R Ravikumar Rao

Ms. Sujata Jonnavittula

Place: Chennai

Whole Time Director

Director

Date : 28.11.2016

DIN: 06432101

DIN: 07014640

IV. SHARE HOLDING PATTERN (Equity Share Capital Breakup as percentage of Total Equity)

(i) Category-wise Share Holding

Name of the Company : **KLK ELECTRICAL LIMITED**
 Face Value : **10 /-**
 Paidup Shares as on 01-Apr-2015 : **2650000**
 Paidup Shares as on 31-Mar-2016 : **2650000**
 For the Period From : **01-Apr-2015 To : 31-Mar-2016**

Category Code	Category of Shareholder	No. of shares held at the beginning of the year				No. of shares held at the end of the year				% change during the year
		Demat	Physical	Total	% of Total Shares	Demat	Physical	Total	% of Total Shares	
A.	SHAREHOLDING OF PROMOTER AND PROMOTER GROUP									
1.	INDIAN	157349	2200	159549	6.0207	157349	2200	159549	6.0207	0.0000
a.	INDIVIDUALS/ HINDU UNDIVIDED FAMILY	0	0	0	0.0000	0	0	0	0.0000	0.0000
b.	CENTRAL GOVERNMENT/ STATE GOVERNMENT(S)	0	0	0	0.0000	0	0	0	0.0000	0.0000
c.	BODIES CORPORATE	0	0	0	0.0000	0	0	0	0.0000	0.0000
d.	FINANCIAL INSTITUTIONS/BANKS	0	0	0	0.0000	0	0	0	0.0000	0.0000
e.	ANY OTHER									
	SUB - TOTAL (A)(1)	157349	2200	159549	6.0207	157349	2200	159549	6.0207	0.0000
2.	FOREIGN	0	0	0	0.0000	0	0	0	0.0000	0.0000
a.	INDIVIDUALS (NON-RESIDENT INDIVIDUALS/FOREIGN INDIVIDUALS)	0	0	0	0.0000	0	0	0	0.0000	0.0000
b.	BODIES CORPORATE	0	0	0	0.0000	0	0	0	0.0000	0.0000
c.	INSTITUTIONS	0	0	0	0.0000	0	0	0	0.0000	0.0000
d.	QUALIFIED FOREIGN INVESTOR	0	0	0	0.0000	0	0	0	0.0000	0.0000
e.	ANY OTHER									
	SUB - TOTAL (A)(2)	0	0	0	0.0000	0	0	0	0.0000	0.0000

IV. SHARE HOLDING PATTERN (Equity Share Capital Breakup as percentage of Total Equity)

Category Code	Category of Shareholder	No. of shares held at the beginning of the year				No. of shares held at the end of the year				% change during the year
		Demat	Physical	Total	% of Total Shares	Demat	Physical	Total	% of Total Shares	
B.	PUBLIC SHAREHOLDING									
1.	INSTITUTIONS									
a.	MUTUAL FUNDS/UTI	0	0	0	0.0000	0	0	0	0.0000	0.0000
b.	FINANCIAL INSTITUTIONS/BANKS	0	0	0	0.0000	0	0	0	0.0000	0.0000
c.	CENTRAL GOVERNMENT/ STATE GOVERNMENT(S)	0	0	0	0.0000	0	0	0	0.0000	0.0000
d.	VENTURE CAPITAL FUNDS	0	0	0	0.0000	0	0	0	0.0000	0.0000
e.	INSURANCE COMPANIES	0	0	0	0.0000	0	0	0	0.0000	0.0000
f.	FOREIGN INSTITUTIONAL INVESTORS	0	0	0	0.0000	0	0	0	0.0000	0.0000
g.	FOREIGN VENTURE CAPITAL INVESTORS	0	0	0	0.0000	0	0	0	0.0000	0.0000
h.	QUALIFIED FOREIGN INVESTOR	0	0	0	0.0000	0	0	0	0.0000	0.0000
i.	ANY OTHER									
	SUB - TOTAL (B)(1)	0	0	0	0.0000	0	0	0	0.0000	0.0000
2.	NON-INSTITUTIONS									
a.	BODIES CORPORATE	429750	600	430350	16.2396	454599	600	455199	17.1773	0.9376
b.	INDIVIDUALS -									
	I. INDIVIDUAL SHAREHOLDERS HOLDING NOMINAL SHARE CAPITAL UPTO RS. 1 LAKH	207583	280650	488233	18.4238	187561	279450	467011	17.6230	-0.8008
	II INDIVIDUAL SHARE HOLDERS HOLDING NOMINAL SHARE CAPITAL IN EXCESS OF RS. 1 LAKH	1455018	28000	1483018	55.9629	1453190	28000	1481190	55.8939	-0.0689

IV. SHARE HOLDING PATTERN (Equity Share Capital Breakup as percentage of Total Equity)

Category Code	Category of Shareholder	No. of shares held at the beginning of the year				No. of shares held at the end of the year				% change during the year
		Demat	Physical	Total	% of Total Shares	Demat	Physical	Total	% of Total Shares	
c.	QUALIFIED FOREIGN INVESTOR	0	0	0	0.0000	0	0	0	0.0000	0.0000
d.	ANY OTHER									
	HINDU UNDIVIDED FAMILIES	33500	0	33500	1.2641	31701	0	31701	1.1962	-0.0678
	NON RESIDENT INDIANS	17650	37700	55350	2.0886	17650	37700	55350	2.0886	0.0000
		51150	37700	88850	3.3528	49351	37700	87051	3.2849	-0.0678
	SUB - TOTAL (B)(2)	2143501	346950	2490451	93.9792	2144701	345750	2490451	93.9792	0.0000
	TOTAL PUBLIC SHAREHOLDING	2143501	346950	2490451	93.9792	2144701	345750	2490451	93.9792	0.0000
	(B) = (B)(1)+(B)(2)									
	TOTAL (A) + (B)	2300850	349150	2650000	100.0000	2302050	347950	2650000	100.0000	0.0000
c.	SHARES HELD BYCUSTODIANS AND AGAINSTWHICH DEPOSITORY RECEIPTSHAVE BEEN ISSUED									
	Promoter and Promoter Group	0	0	0	0.0000	0	0	0	0.0000	0.0000
	Public	0	0	0	0.0000	0	0	0	0.0000	0.0000
	TOTAL CUSTODIAN (C)	0	0	0	0.0000	0	0	0	0.0000	0.0000
	GRAND TOTAL (A) +(B) +(C)	2300850	349150	2650000	100.0000	2302050	347950	2650000	100.0000	0.0000

IV. SHARE HOLDING PATTERN (Equity Share Capital Breakup as percentage of Total Equity) (Contd.)

(ii) Category-wise Share Holding

Name of the Company

: KLK ELECTRICAL LIMITED

Category Code	Shareholder's Name	No. of shares held at the beginning of the year			No. of shares held at the end of the year			% change in share holding during the year	Folio / DP _ CL _ ID	PAN	Pledged shares at beginning of the year	Pledged shares at end of the year
		No. of Shares	% of Total Shares of the company	% of Shares pledged/ encumbered to total shares	No. of Shares	% of Total Shares of the company	% of Shares pledged/ encumbered to total shares					
1	V LAVAKUMAR HAVING SAME PAN	95349	3.5980	0.0000	95349	3.5980	0.0000	0.0000	IN30290241054053	AACPVI363R	0	0
1	LAVAKUMAR V HAVING SAME PAN	1100	0.0415	0.0000	1100	0.0415	0.0000	0.0000	00001261	AACPVI363R	0	0
1	LAVAKUMAR V	100	0.0037	0.0000	100	0.0037	0.0000	0.0000	00001259	AACPVI363R	0	0
2	DEVI LAVAKUMAR HAVING SAME PAN	62000	2.3396	0.0000	62000	2.3396	0.0000	0.0000	IN30290241062296	AETPD5909A	0	0
2	DEVI LAVAKUMAR HAVING SAME PAN	100	0.0037	0.0000	100	0.0037	0.0000	0.0000	00000438	AETPD5909A	0	0
2	DEVI LAVAKUMAR	100	0.0037	0.0000	100	0.0037	0.0000	0.0000	00001236	AETPD5909A	0	0

INDEPENDENT AUDITORS' REPORT

To

The Members

KLK ELECTRICAL LIMITED,
Chennai.

We have audited the accompanying financial statements of **KLK ELECTRICAL LIMITED** ("the Company"), which comprise the Balance Sheet as at 31st March, 2016, the Statement of Profit **and** Loss and Cash Flow Statement for the year then **ended, and** a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Financial Statements :

The Company's Board of Directors is responsible for the matters stated in Section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these financial statements that give a true and fair view of the financial position, financial performance and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility :

Our responsibility is to express an opinion on these financial statements based on our audit. We have taken into account the provisions of the Act, the accounting and auditing standards and matters which are required to be included in the audit report under the provisions of the Act and the Rules made there under.

We conducted our audit in accordance with the Standards on Auditing specified under Section 143(10) of the Act. Those standards require that we comply with ethical

requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the company's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of the accounting estimates made by Company's Directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the financial statements.

Opinion :

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India :

- a) in the case of Balance Sheet of the state of affairs of the Company as at 31st March, 2016 ; and
- b) in the case of Statement of Profit and Loss, of the Loss for the year ended on that date.
- c) in the case of Cash Flow Statement, of the cash flows of the Company for the year ended on that date.

Report on other Legal and Regulatory Requirements :

1. As required by the Companies (Auditor's Report) Order, 2016 issued by the Government of India in terms of sub-section(11) of section 143 of the Companies Act, 2013, we enclose in the "Annexure A", hereto a statement on the matters specified in paragraphs 3 and 4 of the said Order.
2. As required by Section 143 (3) of the Act, we further report that:
 - i) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.

- ii) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
- iii) The Balance Sheet, the Statement of Profit and Loss, and the Cash Flow Statement dealt with by this Report are in agreement with the books of account.
- iv) In our opinion, the aforesaid financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.
- v) On the basis of the written representations received from the Directors as on 31 March, 2016 taken on record by the Board of Directors, none of the Directors is disqualified as on 31st March, 2016 from being appointed as a Director in terms of Section 164 (2) of the Act.
- vi) With respect to the adequacy of the internal financial controls over financial reporting of the company and the operating effectiveness of such controls, refer to our separate Report in "Annexure B".
- vii) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us :
 - a) Provision relating to Impact of pending litigations on its financial position in its financial statements - NIL ;
 - b) Provision relating to Material Foreseeable Losses on Long-Term Contracts - Not Applicable. The company neither entered into any derivative contract during the year nor have any outstanding derivative contract at the year end.
 - c) The provision relating to transferring any amounts to the Investor Education and Protection Fund is not applicable to the company during the year.

"ANNEXURE A" TO THE AUDITOR'S REPORT

Statement referred to in our report of even date to the members of **KLK ELECTRICAL LIMITED** on the financial statements for the year ended 31st March, 2016:

(i) **In respect of Fixed Assets :**

The company does not have any Tangle Fixed Assets, hence this clause is not applicable to the Company.

(ii) **In respect of Inventories :**

As explained to us , the Company does not have any Inventories and hence this clause is not applicable to the company.

(iii) The Company has not granted any loan, secured or unsecured to companies, firms, limited liability partnerships or other parties covered in the register maintained under section 189 of the Act. Therefore, clauses (iii) (a) to (iii) (c) of paragraph 3 of the said order are not applicable to the Company.

(iv) In our opinion and according to the information and explanations given to us, the Company has complied with the provisions of section 185 and 186 of the Act with respect to the loans, investments, guarantees, and security provided.

(v) The Company has not accepted any deposits from the public and hence the directives issued by the Reserve Bank of India and the provisions of Sections 73 to 76 or any other relevant provisions of the Act and the Companies (Acceptance of Deposit) Rules, 2015 with regard to the deposits accepted from the public are not applicable.

(vi) The provisions regarding maintenance of the cost records under Section 148(1) of the Companies Act 2013 are not applicable to the Company.

(vii) a) According to the records of the Company, undisputed statutory dues including Income-tax, Sales-tax, Service Tax, Duty of Customs, Duty of Excise, Value Added tax or cess and any other statutory dues, to the extent applicable, have been regularly deposited with the appropriate authorities. According to the information and explanations given to us there were no outstanding statutory dues, as on 31st of March, 2016 for a period of more than six months from the date they became payable. The provisions PF and ESI are not yet applicable to the Company.

b) The Company is not having any disputed liabilities relating to Income Tax or Sales Tax or Wealth Tax or Service Tax or Duty of Customs or Duty of Excise or Value Added Tax or Cess as at the year end.

- (viii) On the basis of our examination of records, The Company has not availed Loans or Borrowings from Banks or Financial Institutions or Government or by issue of Debentures.
- (ix) On the basis of our examination of records and according to the information and explanations given to us, the Company has not raised any money by way of public offers (including debt instruments) and term Loans.
- (x) In our opinion and according to the information and explanations given to us, no fraud by the Company or on the Company by its officers/employees has been noticed or reported during the year that causes the financial statements materially misstated.
- (xi) In our opinion and according to the information and explanations given to us, the company has not paid any managerial remuneration and hence the provisions of section 197 read with Schedule V to the Act are not applicable to the Company.
- (xii) The Company is not a Nidhi Company. Therefore, clause (xii) of paragraph 3 of the said order is not applicable to the Company.
- (xiii) According to the information and explanations given to us and based on our examination of the records of the Company, transactions with the related parties are in compliance with sections 177 and 188 of the Act, wherever applicable and details of such transactions have been disclosed in the financial statements as required by the applicable accounting standards.
- (xiv) On the basis of our examination of records and according to the information and explanations given to us, the Company has not made any preferential allotment or private placement of shares or fully or partly convertible debentures during the year. Therefore, clause (xiv) of paragraph 3 of the said order is not applicable to the Company.
- (xv) On the basis of our examination of records and according to the information and explanations given to us, the Company has not entered into any non-cash transactions with directors or persons connected with them during the year under the provisions of section 192 of the Act.

Therefore, clause (xv) of paragraph 3 of the said order is not applicable to the Company.
- (xvi) On the basis of our examination of records and according to the information and explanations given to us, the Company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934.

ANNEXURE B" TO THE INDEPENDENT AUDITOR'S REPORT

on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

We have audited the internal financial controls over financial reporting of **KLK ELECTRICAL LIMITED** ("the Company") as of 31st March, 2016 in conjunction with our audit of the financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing, to the extent applicable to an audit of internal financial controls, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting were established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles.

A company's internal financial control over financial reporting includes those policies and procedures that;

- a) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company;
- b) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and
- c) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31st March, 2016, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

for **ANANT RAO & MALLIK**
Chartered Accountants
Firm Regn. No. 006266S

Sd/-

(V. Anant Rao)
Partner

Membership No. 022644

Place : Hyderabad

Date : 27-5-2016

KLK ELECTRICAL LIMITED

Registered Office : Old No. 32, New No. 64, 8th Cross Street,
West Shenoy Nagar, Chennai - 600 030

STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED MARCH 31, 2016

S.No.	Particulars	Schedule No.	2015-16 Rs.	2014-15 Rs.
	INCOME :			
I	Revenue from Operations	8	-	-
II	Total Revenue (I)		-	-
	EXPENDITURE :			
III	Employee Cost	9	120,000	125,000
	Other Expenses	10	518,577	497,000
	Depreciation		-	-
IV	Total Expenses		638,577	622,000
V	PROFIT BEFORE EXCEPTIONAL ITEMS AND TAX		(638,577)	(622,000)
	Less : Exceptional Items :			
	- Loss on Sale of Assets		-	-
VI	PROFIT BEFORE TAX		(638,577)	(622,000)
VII	Tax Expense :			
	a) Current Tax		-	-
	b) Deferred Tax		-	-
VIII	Net Profit/(Loss) After Tax (from Continuing Operations)		(638,577)	(622,000)
IX	Earnings Per share - Basic		(0.24)	(0.23)

for ANANT RAO & MALLIK

Chartered Accountants
FRN No. 006266S

V. ANAT RAO

Partner
M.NO. 022644

For and on Behalf of Board

R.RAVI KUMAR RAO SUJATA JONNAVITTULA

Director

Director

KLK ELECTRICAL LIMITED

Registered Office : Old No. 32, New No. 64, 8th Cross Street,
West Shenoy Nagar, Chennai - 600 030

BALANCE SHEET AS AT MARCH 31, 2016

S.No.	Particulars	Schedule No.	31-3-2016 Rs.	31-3-2016 Rs.
I.	EQUITY AND LIABILITIES			
	1. SHAREHOLDERS' FUNDS			
	a) Share Capital	1	26,500,000	26,500,000
	b) Reserves & Surplus	2	(4,544,986)	(3,906,409)
			21,955,014	22,593,591
2.	Current Liabilities			
	a) Trade Payables		-	-
	b) Other Current Liabilities	3	449,464	367,688
	TOTAL		22,404,478	22,961,279
II.	ASSETS :			
	1. NON CURRENT ASSETS:			
	FIXED ASSETS :			
	- Intangible Assets	4	5,562,573	5,562,573
	Non Current Investments	5	3,110,001	3,650,001
2.	CURRENT ASSETS			
	a) Trade Receivables	6	8,682,007	8,682,007
	b) Cash & Cash Equivalents	7	49,897	66,698
	c) Short Term Loans and Advances	8	5,000,000	5,000,000
	TOTAL		22,404,478	22,961,279

Significant Accounting Policies and Notes
to the Financial Statements

A & B

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The accompanying notes are an integral part of the financial statements

for ANANT RAO & MALLIK

Chartered Accountants
FRN No. 006266S

V. ANAT RAO

Partner
M.NO. 022644

For and on Behalf of Board

R.RAVI KUMAR RAO SUJATA JONNAVITTULA

Director

Director

KLK ELECTRICAL LIMITED

Registered Office : Old No. 32, New No. 64, 8th Cross Street,
West Shenoy Nagar, Chennai - 600 030

B. NOTES TO THE FINANCIAL STATEMENTS :

1 Share Capital :

1.1 Details of the Authorized, Issued, Subscribed and Paid up share capital have been depicted in the table below :

Particulars	Ref No.	31-03-2016 Rs.	31-03-2015 Rs.
Authorized :			
50,00,000 Equity shares of Rs. 10/- each	1.2	50,000,000	50,000,000
Total		50,000,000	50,000,000
Issued, Subscribed and Paid-up :			
26,50,000 Equity shares of Rs. 10/- each		26,500,000	26,500,000
Total		26,500,000	26,500,000

1.2 The Company has only one class of equity shares having a per value of Rs. 10/- per share. Each holder of equity shares is entitled to one vote per share. The Company declares and pays dividends in Indian Rupees. The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting. In the event of liquidation of the company, the holders of equity shares will be entitled to receive remaining assets of the company, after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

There is no increase in number of equity shares during the year.

1.3 The following is the list of the shareholders holding more than 5% Equity Shares:

Name of Shareholder	Ref No.	31-03-2016		31-03-2015	
		No. of	%age	No. of	%age
a) RAJENDRA NANIWADEKAR		3,36,100	12.68	3,36,100	12.68
b) J. SRI RAMACHANDRA DURGA PRASAD		2,05,000	7.74	2,05,000	7.74
c) G. HANUMANTHA RAO		1,57,050	5.93	1,57,050	5.93
d) MAYUR N. DHAROD		3,12,000	11.11	3,12,000	11.11
e) UDAY KRANTI INVESTMENTS LTD		3,50,000	13.21	3,50,000	13.21

2. Reserves & Surplus :

Particulars	31-03-2016 Rs.	31-03-2015 Rs.
a) Capital Reserves	13,500	13,500
b) Securities Premium Reserves	7,000,000	7,000,000
	7,013,500	7,013,500
c) Surplus/(Deficit) in Statement of Profit & Loss :		
Balance as per the last Financial Statements	(10,919,909)	(10,297,909)
Add : Transfer from Statement of Profit and Loss	(638,577)	(622,000)
	(11,558,486)	(10,919,909)
Total	(4,544,986)	(3,906,409)

3. Other Current Liabilities :

Particulars	31-03-2016 Rs.	31-03-2015 Rs.
a) Creditors for Expenses	449,464	367,688
	449,464	367,688

4. Fixed Assets - Intangibles :

Particulars	31-03-2016 Rs.	31-03-2015 Rs.
a) Technical Know-How	5,562,573	5,562,573
- Less : Amortisation till date	-	-
	5,562,573	5,562,573
	5,562,573	5,562,573

5. Non-Current Investments :

Particulars	31-03-2016 Rs.	31-03-2015 Rs.
Investments in Equity Shares (at Cost)	3,110,001	3,650,001
	3,110,001	3,650,001

6. Trade Receivables :

Particulars	31-03-2016 Rs.	31-03-2015 Rs.
Sundry Debtors : (Unsecured and Considered good unless otherwise stated)		
- Debts Outstanding for a period exceeding six months	8,682,007	8,682,007
- Other Debts	-	-
	8,682,007	8,682,007

7. Cash & Cash Equivalents :

Particulars	31-03-2016 Rs.	31-03-2015 Rs.
a) Balances with Banks :		
- in Current Accounts	47,397	66,198
b) Cash on Hand	2,500	500
	49,897	66,698

8. Short term Loans and Advances :

Particulars	31-03-2016 Rs.	31-03-2015 Rs.
a) Advances Given to Others	5,000,000	5,000,000
	5,000,000	5,000,000

9. Revenue from Operations :

Particulars	2015-16 Rs.	2014-15 Rs.
a) Software Development Income	-	-

10. Employee Benefits Expenses :

Particulars	31-03-2016 Rs.	31-03-2015 Rs.
a) Salaries to Staff	120,000	125,000
b) Staff Welfare Expenses	-	-
	120,000	125,000

11. Other Expenses :

Particulars	2015-16 Rs.	2014-15 Rs.
a) Administrative Expenses :		
- Rent	30,000	30,000
- Legal & Consultancy Charges including listing/depository/registrar fees	342,725	317,170
- Travelling & Conveyance Expenses	1,000	8,000
- Postage & Telephone Charges	21,000	28,500
- Advertisement Charges	69,762	50,240
- Printing & Stationery	25,000	25,000
- Office Maintenance	1,000	10,000
- Auditors remuneration	28,090	28,090
	518,577.00	497,000

12. **Contingent Liabilities :** NIL

13. Balances standing to the debit/credit of Sundry Creditors, Sundry Debtors, Advances and various parties accounts are subject to confirmation and reconciliation.

14. a) There were no employees drawings remuneration in excess of the limits laid down in Section 197 of the Companies Act, 2013.
- b) No provision for retirement benefits has been made in the accounts contrary to the requirements of Accounting Standard No. 15 issued by the Institute of Chartered Accountants of India.
- (Amounts not quantified).

15. **Additional Information :**

(As given by Management and not verified by the Auditors)

a) Value of Inputs consumed during the year : NIL

b) Foreign Exchange Inflow / Outflow : NIL

c) Related Party Disclosures :

i) Key Management Personnel :	1. Mr. RAYAPURAJU RAVIKUMAR RAO Director
ii) Related Party Transactions :	NIL

16. Earnings Per Share (EPS) :

Earnings per Share is calculated in accordance with Accounting Standard 20 - 'Earnings per Share' notified by the Company's (Accounting Standards) Rules, 2006 (as amended).

Particulars	2015-16 Rs.	2014-15 Rs.
Profit after Tax	(638,577)	(622,000)
Number of Ordinary Shares	2,650,000	2,650,000
Weighted Average Number of Ordinary Shares	2,650,000	2,650,000
Earnings per Share (Rs.) - Basic and Diluted	(0.24)	(0.23)

17. Dues to Micro, Small and Medium Enterprises outstanding for more than 45 days as at Balance Sheet date
2015-16 : Not Ascertained
2014-15 : Not Ascertained
18. Payments to Auditors :
(for Audit & Taxation matters)
2015-16 : Rs. 28,090/-
2014-15 : Rs. 28,090/-
19. Deferred Tax has been provided on timing differences relating to depreciation.
20. Previous year's figures have been regrouped wherever necessary.

SIGNATURES TO SIGNIFICANT ACCOUNTING POLICIES
AND NOTES TO ACCOUNTS

R.RAVI KUMAR RAO

Director

SUJATA JONNAVITTULA

Director

KLK ELECTRICAL LIMITED

1. SIGNIFICANT ACCOUNTING POLICIES

a. Accounting Concepts

The Company follows mercantile system of accounting and recognises income and expenses on accrual basis.

Accounting policies not specifically referred to are consistent with Generally Accepted Accounting Principles as applicable followed in India.

b. Revenue Recognition

All expenses and income are accounted for on mercantile basis except accounting of relief, incentives and concessions, which are accounted for as and when the amounts finally receivable against these are ascertained.

c. Fixed Assets

Fixed Assets are stated at cost including taxes, freight and other incidental expenses incurred in relation to acquisition and installation of the same.

d. Depreciation

Depreciation on Fixed Assets will be provided on the useful lives of Assets based on the management estimate of useful lives.

e. Investments

Long term Investments are stated at cost. Decline in value of long term investments, other than temporary is provided for.

f. Inventories

Raw materials, bought out components, consumable stores and spares are valued at cost.

g. Retirement Benefits

As there were no employees in the Company at the year end, no provision for gratuity/ PF has been made in the books of account.

h. Foreign Exchanges Transactions

There are no foreign exchange transactions.

i. Leases

There are no lease transactions entered into by the company so far.

j. Taxation

Provision for current tax, if any, is made in accordance with the provisions of Income Tax Act, 1961. Current Tax is determined as the amount of tax payable in respect of taxable income for the period.

Deffered tax is recognised, subject to prudence, if timing differences, being the difference between taxable income and accounting income that originate in one period and are capable of reversal in one or more periods.

k. Intangible Assets

Intangible assets in the form of technical know how and drawings are acquired from foreign collaborator and held for manufacture of new products. The cost of the same would be written off uniformly over a period of six years commencing from the year in which the new products using the techincal know how are manufactured.

l. Earning Per Share

The Company reports basic and diluted earnings per share in accordance with the Accounting Standard 20.

m. Contingencies

All liabilities have been provided for in the accounts except liabilities of a contingent nature, which have been disclosed at their estimated value in the Notes on accounts.

KLK ELECTRICAL LIMITED

Registered Office : Old No. 32, New No. 64, 8th Cross Street,
West Shenoy Nagar, Chennai - 600 030

CASH FLOW STATEMENT FOR THE YEAR ENDED 31st MARCH, 2016

S.No.	Particulars	Schedule No.	31-3-2016 Rs.	31-3-2016 Rs.
A.	Cash Flow from Operating Activities			
	Net Profit before Tax		(638,577)	(622,000)
	Adjustments for:			
	Depreciation		-	-
	Interest on Fixed Deposit &		-	-
	Others Received		-	-
	Interest Paid		-	-
	Operating Profit before Working Capital Changes		(638,577)	(622,000.00)
	Decrease / (Increase) in Trade Receivables		-	-
	Increase / (Decrease) in Trade Payables		-	-
	Increase / (Decrease) in Short Term Provisions		-	-
	Increase / (Decrease) in Other Current Liabilities		81,776	22,911.00
	Cash generated from Operating Activities		(556,801)	(599,089)
	Income Tax Paid		-	-
	Net Cash Flow from Operating Activities		(556,801)	(599,089)
B.	Cash Flow from Investing Activities			
	Acquisition of Fixed Assets		-	-
	Changes In Advances		-	-
	Changes in Investments		540,000	350,000
	Net Cash Flow from Investing Activities		540,000	350,000
C.	Cash Flow from Financing Activities			
	Short-Loans Taken / (Repaid)		-	-
	Long-Term - Secured Loans		-	-
	Net Cash Flow from Financing Activities		-	-
	Net Increase/(decrease) in Cash and Cash Equivalents (A + B + C)		(16,801)	(249,089)
	Opening Cash and Cash Equivalents		66,698	315,787
	Closing Cash and Cash Equivalents		49,897	66,698

Notes: 1. The above Cash Flow Statement has been prepared under the 'Indirect Method' as set out in the Accounting Standard 3 (AS 3) 'Cash Flow Statements' notified by the Central Govt under Companies (Accounting Standards) Rules, 2006.
2. Previous year figures have been regrouped / rearranged, wherever necessary to conform to the current period classification.

for ANANT RAO & MALLIK

Chartered Accountants

FRN No. 006266S

V. ANAT RAO

Partner

M.No. 022644

For and on Behalf of Board

R.RAVI KUMAR RAO SUJATA JONNAVITTULA

Director

Director

KLK ELECTRICAL LIMITED

Registered Office : Old No. 32, New No. 64, 8th Cross Street,
West Shenoy Nagar, Chennai - 600 030

CIN: L72300TN1980PLC008230

**35th Annual General Meeting,
Friday 30th day of December, 2016 at 12.00 noon.**

ATTENDANCE SLIP

Folio No./DP ID : Client ID No:

No. of Shares held:

I certify that I am a registered equity shareholder / Proxy for the registered equity shareholder of the Company. I hereby record my presence at the 35th Annual General Meeting of the Company will be held on Friday 30th December 2016 at 12 noon.

.....
Name of the Member/Proxy in BLOCK LETTERS

.....
Member's/Proxy's Signature

Please fill this attendance slip and hand it over at the entrance of the hall.

KLK ELECTRICAL LIMITED

Registered Office : Old No. 32, New No. 64, 8th Cross Street,
West Shenoy Nagar, Chennai - 600 030

CIN: L72300TN1980PLC008230

**35th Annual General Meeting,
Friday 30th day of December, 2016 at 12.00 noon.**

PROXY FORM

(Form No:MGT-11)

(Pursuant to section 105(6) of the Companies Act, 2013 and rule 19(3) of the Companies (Management and Administration) Rules, 2014)

Name of the Member(s) :	
Registered Address :	
E-mail ID :	
Folio / DP ID - Client ID No. :	

I/We being the member(s), holding _____ shares of _____ Limited hereby appoint:

(1) Name: _____

Address: _____

E-mail ID: _____

Signature: _____, or failing him;

(2) Name: _____

Address: _____

E-mail ID: _____

Signature: _____, or failing him;

(3) Name: _____

Address: _____

E-mail ID: _____

Signature: _____

KLK Electrical Limited

as my/our proxy to attend and vote (on a poll) for me/us and on my/our behalf at the 35th Annual General Meeting of the Company, to be held on Friday, December,30, 2016 at 12.00 noon at and at any adjournment thereof, in respect of such resolutions as are indicated below:

Resolution No.	Resolution	Optional*		
Ordinary Business:		For	Against	Abstain
1	Adoption of Audited Financial Statements of the Company for the Financial Year ended 31st March 2016 together with the Report of the Board of Directors and Auditors thereon.			
2	To appoint a Director in place of Mr. R Ravi kumar (DIN 06432101), who retires by rotation and, being eligible, offers himself for re-appointment			
3	Re-appointment of M/s. Anant Rao & Mallik, Chartered Accountants as Statutory Auditors of the Company.			
Special Business:				
4	Appointment of Mr. G. Raja Rao (DIN : 07013119) as Independent Director			

Note:

- *It is optional to put an 'X' in the appropriate column against the Resolutions indicated in the Box. If you leave the 'For' or 'Against' or Abstain column blank against any or all Resolutions, your Proxy will be entitled to vote in the manner as he/she thinks appropriate.
- Notwithstanding the above, the Proxies can vote on such other items which may be tabled at the meeting by the members present.

Signed this _____ day of _____ 2016

Signature of shareholder _____

Signature of Proxy holder _____

Affix
Rs.1/-
Revenue
Stamp

Note:

- This form of proxy in order to be effective should be duly completed and deposited at the Registered Office of the Company, not less than 48 hours before the commencement of the Meeting.
- A Proxy need not be a member of the Company.
- For the Resolutions, Explanatory Statement and Notes, please refer to the Notice of the 35th Annual General Meeting.
- Please complete all details including details of member(s) in above box before submission.

KLK ELECTRICAL LIMITED

Registered Office : Old No. 32, New No. 64, 8th Cross Street,
West Shenoy Nagar, Chennai - 600 030

CIN: L72300TN1980PLC008230

**35th Annual General Meeting,
Friday 30th day of December, 2016 at 12.00 noon.**

BALLOT PAPER

[Pursuant to section 109(5) of the Companies Act, 2013 and rule 21(1) (c) of the Companies (Management and Administration) Rules, 2014]

S.No	Particulars	Details
1	Name of the First Named Shareholder (In Block Letters)	
2	Postal Address	
3	Registered Folio No. / *Client ID No. (*Applicable to investors holding shares in dematerialized form)	
4	Class of Share	

I hereby exercise my vote in respect of Ordinary/ Special resolution enumerated below by recording my assent or dissent to the said resolution in the following manner:

Resolution No	Description of Resolution	No. of shares held by me	I assent to the resolution	I dissent from the resolution
Ordinary Business				
1	Adoption of Audited Financial Statements of the Company for the Financial Year ended 31st March 2016 together with the Report of the Board of Directors and Auditors thereon.			
2	To appoint a Director in place of Mr. R Ravi kumar (DIN 06432101), who retires by rotation and, being eligible, offers himself for re-appointment			
3	Re-appointment of M/s. Anant Rao & Mallik, Chartered Accountants as Statutory Auditors of the Company.			
Special Business				
4	Appointment of Mr. G. Raja Rao (DIN: 07013119) as Independent Director			

Place:

Date:

(Signature of the Shareholder)